

progress of the aggregate dividend yield to more palatable levels even as stock prices are persistently falling.

Individual Stock Yields

Geraldine Weiss of *Investment Quality Trends* has developed an indicator of the percentage of undervalued stocks based upon dividend valuation. The indicator is prepared by comparing the yield from each of the 350 stocks the service has been monitoring since 1966 to its historic range in order to categorize it as "high" or "low."

When the number of undervalued stocks rises above 70% of the total, the market has typically been at or near a bottom. When it falls below 20%, the market has typically been at or near a top. As you can see in Figure 10-3, the percentage has actually been

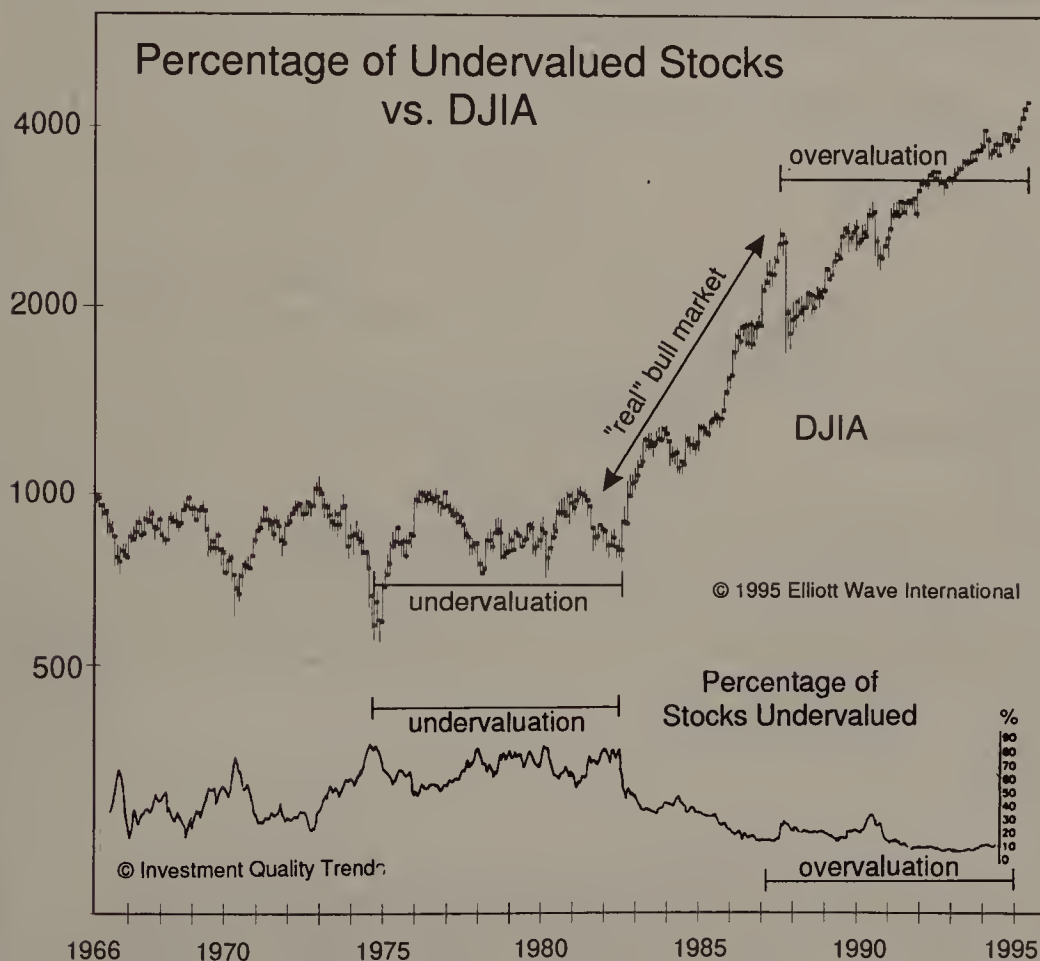


Figure 10-3